

9:00 AM

Line 5

25-CIV-00912 YANG MIN YANG VS. JOSEPH GIRAUDO, ET AL

YANG MIN YANG
JOSEPH GIRAUDO

JONATHAN E. MADISON
DAVID M. LIU

Defendant Royal Business Bank's Demurrer to Plaintiff's First Amended Complaint

TENTATIVE RULING:

Defendant Royal Business Bank's Demurrer to Plaintiff Yang Ming Yang's First Amended Complaint is SUSTAINED IN PART and OVERRULED IN PART.

Plaintiff Yang Ming Yang may file a Second Amended Complaint correcting defects in the fifth cause of action no later than ten (10) days after service of written notice of entry of the formal order.

Defendant Royal Business Bank's Request for Judicial Notice is GRANTED, but only as to the existence of the documents as court records and recorded documents but not to the truth of any matter asserted therein. (See *Ragland v. U.S. Bank National Assn.* (2012) 209 Cal.App.4th 182, 194.)

As a preliminary matter, due to the absence of any apparent prejudice, the Court has considered the late-filed opposition in exercise of its discretion. (See *Juarez v. Wash Depot Holdings, Inc.* (2018) 24 Cal.App.5th 1197, 1202.)

A. Legal Standard on Demurrer

The purpose of a demurrer is to test the legal sufficiency of the facts alleged in the operative complaint to see whether they state a cause of action under any legal theory, as a matter of law. (*New Livable Cal. v. Association of Bay Area Gov'ts* (2020) 59 Cal.App.5th 709, 714–715; *Genis v. Schainbaum* (2021) 66 Cal.App.5th 1007, 1014.) The demurrer may be made to the entire complaint or to any of the cause of action therein. (Code of Civ. Proc., § 430.50, subd. (a).)

To properly state a cause of action, a complaint must allege every element of that cause of action. (*Shaeffer v. Califia Farms, LLC* (2020) 44 Cal.App.5th 1125, 1134.) And to be sustained, a “demurrer must dispose of an entire cause of action.” (*Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 119.)

In determining whether a complaint states facts sufficient to constitute a cause of action, courts accept the factual allegations of the complaint and any matters of which judicial notice can be taken but disregards contentions, deductions, and conclusions. (Code Civ. Proc., § 430.30, subd. (a); *Richtek USA, Inc. v. uPI Semiconductor Corp.* (2015) 242 Cal.App.4th 651, 658.) “The complaint must be given a reasonable interpretation and read as a whole with its parts considered in their context.” (*Herman v. Los Angeles County Metropolitan Transportation Authority* (1999) 71 Cal.App.4th 819, 824.) Thus, the complaint is

construed liberally (see Code Civ. Proc., § 452), and facts that may be inferred from those expressly alleged must also be accepted as true (*Cundiff v. GTE Cal., Inc.* (2002) 101 Cal.App.4th 1395, 1405).

B. 1st Cause of Action: UCL Violation

The first cause of action is for RBB's alleged violations of the Unfair Competition Law by, *inter alia*, engaging in business practices made unlawful by the California Homeowner Bill of Rights ("HBOR"). (Aug. 7, 2025 First Amended Complaint ("FAC"), ¶ 23.) RBB contends this cause of action must fail because, according to RBB, the other causes of action set forth in the First Amended Complaint ("FAC") must fail. However, as discussed below, the FAC adequately alleges violations of HBOR, such that the UCL claim stands. Accordingly, the demurrer to the first cause of action is OVERRULED.

C. 2nd & 3rd Causes of Action: HBOR Violations

The second and third causes of action are for violations of HBOR, based on RBB's alleged failures to contact Plaintiff Yang Ming Yang before recording a notice of default and to provide a single point of contact. (FAC, ¶¶ 15, 33, 42.)

RBB's first argument with respect to these causes of action is that the HBOR does not apply because Yang did not occupy the subject property as his principal residence. RBB points to certain bankruptcy filings purportedly filed by Yang—though the names on some of the filings differ—and contends the filings constitute judicial admissions that the subject property was not owner-occupied. (See Dec. 5, 2025 Request for Judicial Notice ("RJN"), Exhs. 6–9.)

Pleadings in prior litigation do not constitute binding *judicial* admissions for purposes of later litigation, though they may have evidentiary value as admissions against interest. (See, e.g., *Salazar v. Upland Police Dept.* (2004) 116 Cal.App.4th 934, 946 [fact party made admission in stipulation in other case was subject to judicial notice]; *Jones v. Tierney-Sinclair* (1945) 71 Cal.App.2d 366, 374 [statement in pleading filed in prior case was admissible admission against interest].) Even if one were inclined to deem the statements therein judicially noticeable as statements against interest, "[w]hen judicial notice is taken of a document ... the truthfulness and proper interpretation of the document are disputable." (*Ragland v. U.S. Bank National Association*, *supra*. 209 Cal.App.4th at p. 194.) Moreover, even were one to accept the truth of the matters asserted in Yang's bankruptcy filings, they do not establish that Yang himself did not occupy the real property that is the subject of this litigation at *none* of the relevant time periods. (See RJN, exhs. 6–9 [no affirmative indication of extended non-occupation].)

RBB also contends that the third cause of action fails to allege a violation of Civil Code section 2923.55. That section provides in relevant part that a loan servicer shall not record a notice of default until thirty days after the servicer contacts the borrower "in person or by telephone in order to assess the borrower's financial situation and explore options for the borrower to avoid foreclosure" or attempts to make contact by undertaking statutorily defined "due diligence." (Civ. Code, § 2923.55, subds. (b)(2)(A), (f).) According to RBB, the FAC admits the requisite contact was made, because the notice of default recites it and the Complaint alleges Yang sought a loan modification from RBB and spoke with its agents telephonically. (FAC, ¶¶ 12–13, exh. B.)

The truth of the matters recited in recorded documents are not subject to judicial notice. And the fact the FAC alleges that Yang spoke with RBB at an unspecified time does not mean RBB contacted Yang thirty days before recording the notice of default as required by HBOR.

As for the third cause of action, RBB contends it fails to allege a violation of Civil Code section 2923.7. That statute requires a loan servicer to establish a single point of contact with whom the borrower can discuss alternatives to foreclosure. According to RBB, the FAC admits a single point of contact was assigned.

The FAC does allege that RBB initially assigned a single point of contact, but it also alleges that RBB repeatedly changed the contact without notice to Yang. (FAC, ¶ 15.) If true, this would be a violation, because the statute requires “the single point of contact [to] remain assigned to the borrower’s account until the mortgage servicer determines that all loss mitigation options offered by, or through, the mortgage servicer have been exhausted or the borrower’s account becomes current.” (Civ. Code, § 2923.7, subd. (c).)

Accordingly, the demurrers to the second and third causes of action are OVERRULED.

D. 4th Cause of Action: Quiet Title

Pursuant to the ruling on the accompanying motion to strike, the demurrer to the fourth cause of action is MOOT.

E. 5th Cause of Action: Wrongful Foreclosure

The fifth cause of action is for wrongful foreclosure, based on the same alleged conduct constituting the purported negligence and underlying the purported HBOR violations. (FAC, ¶¶ 59–65.)

An element of a cause of action for wrongful foreclosure is a tender of the balance of the loan (either the full balance or the amount required to be entitled to reinstatement) or circumstances excepting the plaintiff from the tender requirement. (See *Chavez v. Indymac Mortgage Services* (2013) 219 Cal.App.4th 1052, 1062; *Turner v. Seterus, Inc.* (2018) 27 Cal.App.5th 516, 525 [“plaintiff seeking to set aside an irregular sale must allege tender of the full amount of the loan to maintain *any* cause of action that either is based on the wrongful foreclosure allegations or seeks redress from that foreclosure”].) The demurrer to the prior complaint was sustained for its failure to allege an offer of equity.

The FAC includes a new allegation that Yang “is ready, willing, and able to tender the amount necessary to reinstate or satisfy the secured obligation[.]” (FAC, ¶ 54.) But such a conclusory statement alone is not enough: “Merely stating one is ready, willing, and able to tender payment upon learning what is owed is insufficient tender where the notice of default informed the debtor of a minimum amount owed and the debtor tendered no payment of at least that amount.” (*Crossroads Investors, L.P. v. Federal National Mortgage Assn.* (2017) 13 Cal.App.5th 757, 791; see *Morris v. JPMorgan Chase Bank, N.A.* (2022) 78 Cal.App.5th 279, 315 [plaintiff “only alleged that she was ‘willing and able to tender funds.’ Such an allegation was insufficient to satisfy the tender requirement”].) Likewise, the allegation that the deed of trust was invalid and unenforceable (see FAC, ¶ 54), is a mere legal conclusion and there are no facts alleged to support it.

Yang also argues that tender was also excused due the alleged violations of HBOR. “True, there are exceptions to the rule, including when its enforcement would be inequitable” (*Morris v. JPMorgan Chase Bank, N.A.*, *supra*, 78 Cal.App.5th at p. 315), but Yang has not identified any particular exceptions in his opposition nor cited any authority in support. Generally, irregularities in foreclosure procedures render a sale voidable, not void, and do not excuse the requirement for tender. (See, *Ram v. OneWest Bank, FSB*

(2015) 234 Cal.App.4th 1, 17–20.) The FAC does not allege facts showing the purported HBOR violations made tender difficult or impossible so as to excuse Yang from the requirement.

Accordingly, the demurrer to the fifth cause of action is SUSTAINED. The prior demurrer was sustained on account of the complete absence of an allegation of tender, which Yang attempted to correct. This will now be Yang’s first opportunity to correct the defective attempt at alleging tender, and thus leave to amend is granted pursuant to his request.

Any party who contests a tentative ruling must email Dept20@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Counsel for the prevailing party shall prepare for the Court’s signature a written order consistent with the Court’s ruling pursuant to CRC Rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the CRC. Please note that Local Rule 3.403(b)(iv) states in part “prevailing party on a tentative ruling is required to prepare a proposed order **REPEATING VERBATIM** the tentative ruling” (emphasis added). The order should be filed or e-filed only, do not email or mail a hard copy to the Court.

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Line 6

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YANG MIN YANG
JOSEPH GIRAUDO

JONATHAN E. MADISON
DAVID M. LIU

Defendant Royal Business Bank's Motion to Strike Portions of Plaintiff's First Amended Complaint

TENTATIVE RULING:

Defendant Royal Business Bank's Unopposed Motion to Strike Portions of Plaintiff Yang Ming Yang's First Amended Complaint is GRANTED.

Defendant Royal Business Bank moves to strike the fourth cause of action, as the First Amended Complaint is not verified. Plaintiff has not filed any opposition.

The fourth cause of action is for quiet title. (Aug. 7, 2025 First Amended Complaint, ¶¶ 48–57.) A complaint seeking quiet title “shall be verified.” (Code of Civ. Proc., § 761.020.) The FAC alleges Plaintiff Yang Ming Yang “will” verify the pleading, but he has failed to do even after the defect was brought to his attention for at least a third time. (See Dec. 5, 2025 Motion to Strike, p. 6, ¶ 3; Jul. 15, 2025 Order, p. 5, ll. 21–24; Mar. 13, 2025 Demurrer, p. 8, ll. 21–23.) “Where the complaint must be verified and is not, it may be stricken on motion.” (5 Witkin, Cal. Procedure (6th ed. 2026); see *Silcox v. Lang* (1889) 78 Cal. 118, 122–123.)

Accordingly, the motion to strike is GRANTED and the fourth cause of action is now stricken.

Any party who contests a tentative ruling must email Dept20@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Counsel for the prevailing party shall prepare for the Court's signature a written order consistent with the Court's ruling pursuant to CRC Rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the CRC. Please note that Local Rule 3.403(b)(iv) states in part “prevailing party on a tentative ruling is required to prepare a proposed order **REPEATING VERBATIM** the tentative ruling” (emphasis added). The order should be filed or e-filed only, do not email or mail a hard copy to the Court.